IN THE SUPREME COURT OF THE STATE OF OREGON

MAYOLA WILLIAMS, Personal Representative of the Estate of Jesse D. Williams, Deceased,
Plaintiff-Appellant
Cross-Respondent,

and

STATE OF OREGON, acting by and through the Department of Justice,
Cross-Appellant,

v.

RJ REYNOLDS TOBACCO COMPANY; FRED MEYER, INCORPORATED; and PHILIP MORRIS COMPANIES, INC.,
Defendants,

and

PHILIP MORRIS, INC., nka Philip Morris USA, Inc.,
Defendant-Respondent
Cross-Respondent, Petitioner.

Multnomah County Circuit Court No. 970503957

CA A147126

S 059014

PETITION FOR RECONSIDERATION OF PHILIP MORRIS, INC., NKA PHILIP MORRIS USA, INC.,

Order Accepting Certified Appeal
December 16, 2010
De Muniz, Paul J., CJ

(Counsel Listed on Inside Cover)

December 2010

William F. Gary, OSB #770325
william.f.gary@harrang.com
Sharon A. Rudnick, OSB #830835
sharon.rudnick@harrang.com
Harrang Long Gary Rudnick P.C.
360 East 10th Avenue, Suite 300
Eugene, OR 97401-3273
(541) 485-0220

Of Attorneys for Defendant-Respondent, Cross-Respondent Philip Morris, Inc., nka Philip Morris USA, Inc.

James S. Coon, OSB #771450
jcoon@stc-law.com
820 SW 2nd Ave, Suite 200
Portland, OR 97204
(503) 228-5222

Of Attorneys for Plaintiff-Appellant, Cross-Respondent

Denise G. Fjordbeck, OSB #822578
denise.fjordbeck@doj.state.or.us
Oregon Department of Justice
1162 Court Street, NE
Salem, OR 97301-4096
(503) 378-4402

Of Attorneys for Cross-Appellant State of Oregon

BRIEF

Defendant-Respondent and Cross-Respondent Philip Morris, Inc., nka Philip Morris USA, Inc. ("PM USA"), respectfully asks this court to reconsider its Order Accepting Certified Appeal dated December 16, 2007. The procedural posture of this case makes it unsuitable for certification at this time. A closely related case, which should be considered with this one, remains pending in the Court of Appeals and there are jurisdictional issues in both cases that must be resolved before either appeal can proceed. Transferring this case to the Supreme Court for the first level of appellate review, at this early stage of the appeal, will frustrate rather than facilitate the efficient resolution of the issues on appeal.

The Notice of Appeal in this case was filed on November 22, 2010. On November 23, 2010, the State of Oregon filed a Notice of Cross-Appeal. However, the State is not a party to this case and, therefore, lacks standing to appeal the judgment entered by the circuit court. ORS 19.245 (limiting appeals to those who were parties to the judgment from which an appeal is sought). PM USA has filed a motion in this court to dismiss the State's purported cross-appeal.

In addition to the jurisdictional question about the propriety of the State's cross-appeal in this case, there is a significant jurisdictional question concerning the appeal of a companion case, *State of Oregon v. American Tobacco Company Inc., et al.*, Multnomah Co. Cir. Ct. case no. 9706-04457, Court of Appeals No.

A147250 ("*State v. PM USA*"), which has yet to be resolved. There, the State has filed a Notice of Appeal from an order that has twice been entered in *Williams* but has not been entered in *State v. PM USA*, the case in which the State has filed a notice of appeal from the order. PM USA has filed a motion in the Court of Appeals to determine the viability of the State's appeal in that case. As explained below, the same court should sort out the jurisdictional issues in both cases.

The primary legal issues in both cases concern the State's share of the punitive damages award in *Williams*, pursuant to Oregon's "split recovery" statute, former ORS 18.540 (1997) (now renumbered as ORS 31.735). In *State v. PM USA*, the State filed a Motion for Declaratory Order to Construe Terms of the MSA, in which it asked the trial court to determine whether the State had released its claim to its statutory share of the *Williams* punitive damages award in the Master Settlement Agreement ("MSA") entered in that case. On remand in *Williams*, the Estate claimed that it should receive the entire punitive damages award. The Estate argued both that the split recovery statute, now ORS 31.735, is unconstitutional and that, if the State had released its claim to a portion of the punitive damages, then the State's share should be paid to the Estate.

The trial court consolidated the post-remand proceedings in *Williams* and the declaratory order proceeding in *State v. PM USA* for the purpose of

resolving these intertwined issues in both cases. In a series of hearings, each with separate briefing and oral argument, the trial court first determined that the State had released its statutory claim to a portion of the *Williams* punitive damages award. It next concluded that the *Williams* Estate is not entitled to recover the State's released share, and, finally, it found that the split recovery statute is not unconstitutional as the *Williams* Estate claimed.

The trial court entered judgment in *Williams* accordingly, awarding the Estate its compensatory damages and its statutory share of the punitive damages, but awarding nothing to the State. The trial court also signed a declaratory order determining that the State had released its claim to its statutory share of the *Williams* punitive damages award in the MSA. Two copies of the court's declaratory order have been entered in *Williams*. The declaratory order has not (yet) been entered in *State v. PM USA*. PM USA has filed a motion in the Court of Appeals pursuant to ORAP 2.35 for summary determination that the Post-Judgment Order is not appealable in *State v. PM USA* because it has not yet been entered in that case. *See* Attachment A (copy of motion for summary determination of appealability filed in Court of Appeals).

The Court of Appeals certified this case to the Supreme Court by order dated December 15, 2010. This court accepted the certification the next day. ORS 19.405 and ORAP 10.10 contemplate that the certification process generally will occur after the case is at issue. *See* ORS 19.405(2) (if a

certification is accepted "the Court of Appeals shall transmit the record of the case and the briefs of the parties to the Supreme Court") ORAP 10.10(7) (same). Here, however, the case has been transferred to the Supreme Court before the record is settled or transmitted to the appellate court from the trial court, before significant jurisdictional and procedural issues are resolved, and before the issues on appeal have been framed or briefed. It is premature for the Court of Appeals and Supreme Court to determine that this case is appropriate for certification.

To facilitate appellate review of all of the related issues that the trial court decided in the consolidated proceedings, it makes sense for the appeals in the two cases to be heard together.[1] Before that can happen, however, this court or the Court of Appeals, or both, must resolve the two procedural and jurisdictional issues presented by the State's attempted appeals in both *Williams* and *State v. PM USA*. As a matter of judicial efficiency, the procedural and jurisdictional issues presented in both cases should be dealt with by the Court of

[1] An additional reason for the cases to be heard together is the fact that the State and the *Williams* Estate are effectively partners in seeking to recover the State's statutory share of the *Williams* punitive damages award. The State and the Estate entered into a settlement agreement on October 6, 2004, in which they agreed, in settlement of the Estate's claim to the State's statutory share of the *Williams* punitive damages award, that they would cooperate to ensure that PM USA is required to pay the maximum possible amount of punitive damages and that, regardless of who receives the punitive damages payment, the State and the Estate will split the State's statutory share, with 55% being paid to the State and 45% being paid to the Estate. Declaration of William G. Gary in Support of PM USA's Response Brief Regarding the Constitutionality of ORS 31.735, ¶ 3, Ex. 2 at 1-2 (Agreement).

Appeals so that the two cases may proceed on parallel tracks and on the same timetable. It may be necessary for the court to grant leave to the trial court in *State v. PM USA* to enter an appealable order pursuant to ORS 19.270(4). Once both cases are properly before the appellate court and the record is settled, the court should consider consolidating the cases for purposes of appeal.

The reasons for certifying this appeal to this court do not outweigh the procedural complications that arise by having these two related cases pending before different courts as the intertwined jurisdictional issues are resolved. PM USA respectfully urges this court to reconsider its Order Accepting Certified Appeal, vacate that order and permit the Court of Appeals to resolve the jurisdictional and procedural issues in both cases so that the appeals may proceed together.

Respectfully submitted this 22nd day of December, 2010.

HARRANG LONG GARY RUDNICK P.C.

/s/ *Sharon A. Rudnick*
William F. Gary, OSB #770325
william.f.gary@harrang.com
Sharon A. Rudnick, OSB #830835
sharon.rudnick@harrang.com
Of Attorneys for Defendant-Respondent, Cross-Respondent Philip Morris, Inc., nka Philip Morris USA, Inc.

CERTIFICATE OF COMPLIANCE WITH ORAP 5.05(2)(D)

I certify that (1) this brief complies with the word-count limitation in ORAP 5.05(2)(b), and (2) the word-count of this brief (as described in ORAP 5.05(2)(a)) is 1,657 words.

I certify that the size of the type in this brief is not smaller than 14 point for both the text of the brief and footnotes as required by ORAP 5.05(4)(f).

Respectfully submitted this 22nd day of December, 2010.

HARRANG LONG GARY RUDNICK P.C.

/s/ *Sharon A. Rudnick*
William F. Gary, OSB #770325
william.f.gary@harrang.com
Sharon A. Rudnick, OSB #830835
sharon.rudnick@harrang.com
Of Attorneys for Defendant-Respondent, Cross-Respondent Philip Morris, Inc., nka Philip Morris USA, Inc.

CERTIFICATE OF FILING AND SERVICE

I certify that on December 22, 2010, I filed the foregoing PETITION FOR RECONSIDERATION with the Appellate Court Administrator by using the eFiling system.

Participants in this case who are registered eFilers will be served via the electronic mail function of the eFiling system as follows: Denise G. Fjordbeck, and James S. Coon.

Respectfully submitted this 22nd day of December, 2010.

HARRANG LONG GARY RUDNICK P.C.

/s/ *Sharon A. Rudnick*
William F. Gary, OSB #770325
william.f.gary@harrang.com
Sharon A. Rudnick, OSB #830835
sharon.rudnick@harrang.com
Of Attorneys for Defendant-Respondent, Cross-Respondent Philip Morris, Inc., nka Philip Morris USA, Inc.